Ind AS 101 — Deep Dive

The transition-date reconciliation, item by item — the format ICAI asks you to prepare. ₹ lakh, tax 25%.

1 Equity reconciliation at date of transition (1 Apr 2024)

Item	Effect	DT
Equity under previous GAAP	***1,000***	
Proposed dividend reversed — not a liability until approved (Ind AS 10)	*+50*	*—*
*Equity investment designated **FVOCI**: FV 140 vs cost 100 → OCI reserve*	*+40*	*(10)*
***ECL** on trade receivables (simplified approach)*	*(20)*	*+5*
*Redeemable preference shares **reclassified to liability** (Ind AS 32)*	*(100)*	*—*
Decommissioning provision added to PPE; net equity effect of catch-up depreciation & unwinding	*(8)*	*+2*
Deferred tax on the adjustments (Ind AS 12)	*(3)*	
Equity under Ind AS	***959***	

- → *All adjustments → **retained earnings** or the relevant **other equity** component (FVOCI reserve) **at transition date** — never through P&L*
- → *Repeat the reconciliation at **end of the latest previous-GAAP year** (31 Mar 2025) and for **total comprehensive income** of FY 2024-25*
- → *Proposed dividend: no DT; preference reclass: no DT (presentation only); liability component of pref. → later EIR finance cost*

2 Deemed cost choices — numbers

Option for a plant (IGAAP CA 400, FV 520, Ind AS-compliant cost-model CA 360)	Opening Ind AS CA	Effect
Full retrospective Ind AS 16	*360*	*(40) to RE*
***FV as deemed cost** (item-by-item)*	*520*	*+120 to RE (+ DTL)*
***Previous-GAAP CA for ALL PPE** (D7AA)*	*400*	*Nil (decommissioning adjustment only)*

⚠ TRAP

***D7AA is all-or-nothing** for PPE (and separately for intangibles / investment property). FV deemed cost can be chosen **item by item**. Once deemed cost is set, later depreciation follows Ind AS 16 from that base.*

③ Item-by-item twisted cases

Case	Answer
Under IGAAP, estimated warranty 2% of sales; better data in Jun 2024 shows 3% was right at transition	Keep **2%** at transition (no hindsight, mandatory exception) — unless 2% was an **error**; change goes to later period
IGAAP had no estimate (e.g., no DB valuation done)	Make the estimate at transition date reflecting **conditions at that date**
Receivables factored with recourse in 2022, derecognised under IGAAP	Derecognition exception — **not** re-recognised (prospective from transition)
Past business combination recorded at book values (IGAAP)	BC exemption → keep; goodwill = IGAAP carrying amount, tested for impairment at transition; recognise / derecognise items as Ind AS requires (adjust goodwill only for intangibles previously subsumed)
Foreign operation's translation reserve under IGAAP	May **reset to zero** (D13) → future disposal gain excludes pre-transition differences
Long-term FC loan taken in 2015 with AS 11 · 46A capitalisation	May **continue** 46A policy (D13AA) for that loan
ESOPs vested before transition	Need not apply Ind AS 102 (D2)
Compound instrument fully converted before transition	No need to split (D18)
Subsidiary adopts Ind AS later than parent	Sub may measure at carrying amounts in **parent's CFS** (based on parent's transition date) (D16)
Hedge not documented at transition	**No** hedge accounting retrospectively (mandatory exception)

④ Presentation of first Ind AS FS

- → **Three balance sheets**: end of current year, end of comparative year, and **transition date** (opening Ind AS BS)
- → Two P&Ls, two cash flow statements, two SOCEs + notes, incl. Ind AS 101 reconciliations
- → Explain material differences in **cash flows** (e.g., interest classification)

Draw the line: **Transition date → Comparative year → First reporting date.** Then go item by item: **recognise / derecognise / reclassify / remeasure** — check exception or exemption for each.

✍ **Write in exam**

"As per para 11 of Ind AS 101, the adjustments arising from changes in accounting policies on transition to Ind AS shall be recognised directly in retained earnings (or, if appropriate, another category of equity) at the date of transition to Ind AS."